

DIWALI DHAMAKA?

RATE CUTS UNDER the goods and services tax (GST), effective September 22, have given a boost to consumer sentiments with auto majors and consumer durable firms announcing price cuts to cash in on festive cheer. Several brands and retailers have reported sales growth of 25% to 100%. But transmission of the tax cuts is still under way with smaller retailers awaiting new inventory to pass on the benefits. E-commerce platforms are working to ensure sellers lower prices. The government expects the transition issues to be sorted out soon. This could give a boost to purchases during Diwali and manufacturers are optimistic of better sales in Q3FY26.



107.9%

**ABOVE-NORMAL
SOUTHWEST MONSOON.
THE LONG-PERIOD AVERAGE
COUNT EXCEEDED IMD'S
FORECAST OF 105%,
ACCORDING TO CMIE DATA**



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CEMENTING TRADE PACTS

ON THE BACKDROP of continued US tariffs, the India-European Free Trade Association trade pact came into effect from October 1, giving hopes of diversification of India's export markets. The Trade and Economic Partnership Agreement between India and the four-nation bloc of Switzerland, Norway, Liechtenstein, and Iceland is expected to offer better access to Indian exports in sectors like machinery, organic chemicals, and processed foods. It also includes a commitment to facilitate \$100 billion of FDI in India over the next 15 years and create one million direct jobs. The next in line is conclusion of negotiations for a trade pact with the European Union and there's cautious optimism on the India-US trade deal.



GOLDEN RUSH

GOLD HAS BEEN on a record-breaking spree as geopolitical uncertainties persist, driving investors toward safer assets. Over the past year, the price of gold in India has surged 59%, reaching an all-time high of ₹1,19,400 per 10 grammes on October 7, 2025. In the international market, gold has gained 47% year-to-date till September 2025, marking its strongest annual performance since 1979, according to the World Gold Council. Analysts believe that escalating global tensions and fluctuations in the US dollar will continue to influence gold's trajectory in the coming months.